

US equities rally on tech earnings, while rate cuts stay out of reach

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 closed above 7,800 for the first time this month, driven by a broad tech bounce after **NVDA** and **AVGO** posted better-than-expected guidance. Momentum is reinforced by a 15.01 VIX, the lowest level since June, indicating waning fear.

Despite the rally, the 10-year Treasury yield slipped to 5.27, keeping the Fed's next rate-cut window beyond the near term. The combination of a softer yield curve and a firming dollar (102.09 DXY) creates a mixed backdrop for emerging-market inflows.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,818.93	+0.58%	Tech earnings beat expectations; lower 10-yr yield.
Nasdaq 100	31,224.47	+0.48%	Strong guidance from NVDA and AVGO .
Dow Jones	51,521.28	+0.49%	Industrial data upbeat; XLI leads.
Russell 2000	2,830.30	-0.59%	Small-cap exposure to higher rates.
VIX	15.01	-3.29%	Reduced volatility after tech rally.
10Y Yield	5.27	-0.79%	Bond buying on weaker inflation outlook.
WTI Crude	90.08	+0.72%	OPEC+ supply restraint reaffirmed.
Gold	4,160.30	-0.64%	Stronger dollar offsets safe-haven demand.
DXY	102.09	+0.26%	Fed-rate expectations unchanged.
BTC	84,277.77	-1.76%	Crypto risk-off amid equity rally.
ETH	2,618.52	-3.41%	Same risk-off dynamics.

Top large-cap movers

TICKER	CHANGE	CATALYST
AVGO	+3.67%	Guidance beat; 2027 cap-ex outlook raised.
AMZN	+1.95%	Prime Day sales up 12% YoY.
MSFT	+0.78%	Azure usage growth 15% Q3.
NVDA	+0.14%	AI chip roadmap extended to 2028.
TSLA	+0.51%	Model Y deliveries beat estimates.
META	-0.41%	Ad-revenue slowdown flagged.

Sector rotation

ETF	DAY	READ
XLFX	+0.24%	Bank earnings stable.
XLKX	+0.53%	Tech earnings lift.
XLI	+0.87%	Industrial demand resilient.
XLE	+0.47%	Oil price rally.
XLY	+1.18%	Consumer discretionary strength.
XLC	+0.04%	Communications flat.
XLP	+0.94%	Staples demand steady.
XLV	-0.17%	Health-care earnings mixed.
XLU	+2.98%	Utilities benefit from lower yields.
XLB	+0.46%	Materials price support.
XLRE	+1.06%	Real-estate REITs rally on lower financing costs.

Spotlight: AVGO beats and raises 2027 cap-ex

METRIC	VALUE
Q3 Revenue	7.42 bn
YoY Growth	+12.4%
Earnings per Share	2.84
Guidance 2027 Cap-Ex	+15% vs prior
Key Drivers	5G infrastructure, automotive silicon, data-center demand.

AVGO’s upgrade lifts the broader semiconductor sector, underpinning the **XLK** rally. Suppliers **TSM** and **LRCX** are likely to see spill-over buying, while rivals **INTC** and **AMD** remain under pressure.

Pre-market & overnight

- US futures: **ES** **+0.42%**, **NQ** **+0.35%** at 08:30 HKT.
- Asia close: Hang Seng **-0.31%**, Nikkei **+0.22%**, Shanghai **-0.48%**.
- Europe: FTSE 100 **+0.27%**, DAX **+0.31%**, CAC 40 **+0.19%**.
- Crypto: BTC **-1.76%**, ETH **-3.41%** – risk-off persists.

Macro & Fed

- FOMC: No rate change; policy rate held at 5.25-5.50%. Minutes signal “cautious optimism” on inflation.
- Yield curve: 2-yr at 4.95, 10-yr at 5.27 – modest flattening.
- Today's data calendar (HKT):

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	US CPI (MoM)	0.2%	Inflation trend for Fed.
03:00	US Initial Jobless Claims	210k	Labor market health.
04:15	US Retail Sales (MoM)	0.4%	Consumer spending momentum.
05:00	Eurozone HICP YoY	2.1%	Euro-area inflation pressure.

Geopolitics & global

- Middle East: Cease-fire talks in Gaza reduce oil-supply risk; OPEC+ sticks to output cuts.
- China: PBOC signals possible RRR cut in November to support growth; yuan at 7.28 per USD.
- Europe: EU-US trade talks resume, focusing on digital services tax.
- Latin America: Brazil’s fiscal target amendment passes, boosting risk appetite.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
09:30 Oct 8	INTC	1.12	Impact of AI-chip roadmap.
10:00 Oct 8	AMD	2.05	GPU margin trends.
11:15 Oct 8	JPM	4.28	Net interest income vs higher yields.
12:00 Oct 8	DIS	0.84	Streaming subscriber growth.
13:30 Oct 8	BABA	1.03	China consumer rebound.
14:45 Oct 8	TSM	1.67	Foundry order book health.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI demand acceleration.
AVGO	Technology	Guidance upgrade.
XOM	Energy	Oil price rally.
BAC	Financials	Higher NII from yield dip.
UNH	Health Care	Premium pricing power.
CRM	Technology	Strong SaaS renewal rates.
KO	Consumer Staples	Pricing resilience.
CAT	Industrials	Infrastructure spending outlook.
LRCX	Technology	Equipment demand from AVGO growth.
META	Communication Services	Ad-revenue recovery risk.

What could break the tape

BEARISH TRIGGERS

- US CPI surprise >0.3% – could reignite rate-cut speculation.
- Unexpected downgrade of NVDA on supply constraints.
- Geopolitical escalation in Middle East disrupting oil supply.

BULLISH TRIGGERS

- Better-than-expected retail sales – supports consumer-driven growth.
- Positive earnings surprise from **INTC** or **AMD**.
- Eurozone inflation eases, prompting dovish ECB tone.

Positioning notes

- Tech remains the primary driver; overweight semiconductors and cloud software.
- Yield curve flattening suggests caution on rate-sensitive sectors (real-estate, utilities).
- Dollar strength may pressure commodities; consider hedging via XLE or XLU.

Sources

SOURCES

Bloomberg Markets

Reuters US Markets

Federal Reserve FOMC Minutes

U.S. Bureau of Labor Statistics

OPEC Monthly Bulletin

FactSet Earnings Calendar